

The complaint

Ms L complains Assurant General Insurance Limited (“Assurant”) hasn’t covered a claim for two stolen phones, after initially saying it would.

What happened

Ms L has a ‘tech pack’ with her bank account that provides mobile phone and gadget insurance cover for her and her partner. In mid-November 2019, she made a claim for her and her partner’s stolen phones.

On 20 November 2019, Assurant told Ms L that because there had been three claims in the previous 12 months, she could only claim for one of the stolen phones. Later that day, it explained she had actually made four claims in the previous 12 months, which was the maximum she could make. It said due to its error, it would still go ahead and consider the one claim.

Assurant wrote to Ms L on 25 November rejecting both of her claims, saying she had exceeded the number of successful claims that could be made in a 12 month period.

Our investigator upheld Ms L’s case in part. She said Assurant was fair to decline Ms L’s claims, but it ought to pay £100 compensation for the misleading information given.

Ms L and Assurant disagreed with our investigator. Ms L remained unhappy as she was told that both phones would be covered – she said £100 wouldn’t replace the two phones. Assurant felt £50 was a fairer offer to compensate Ms L for the misleading information – it said that she’d been told the claim would be assessed, not that it had been accepted.

The complaint has been passed me to decide.

What I’ve decided – and why

I’ve considered all the available evidence and arguments to decide what’s fair and reasonable in the circumstances of this complaint.

Having done so, I agree with the outcome our investigator reached, and for broadly the same reasons.

I’ve reviewed the policy terms and conditions, as these set out the agreement between Ms L and Assurant about what will and won’t be covered. These set out:

There is a limit to the number of successful loss or theft claims that can be made on this policy in any 12 month period. This amount is:

- 4 loss or theft claims for mobile phonesper Tech Pack

AND

- 4 loss or theft claims for any gadgets per Tech Pack

Each of these limits are independent of the other, so you can have 4 successful claims on mobile phones AND 4 successful claims on your gadgets in any 12 month period. Once you reach one of these limits in any 12 month period your insurance will continue but you will not be able to make a further loss or theft claim for either mobile phones or gadgets, depending on which limit you have reached, for any further incidents that happen before the anniversary of the first claim.

For example if you make a successful loss or theft claim on a mobile phone on 1st January and a further 3 successful loss or theft claims on 1st May, 1st June and 1st October you will not be able to make any further loss or theft claims against this policy for incidents that happen prior to 1st January the following year. As this means you have reached the limit to the number of mobile phone claims, you would still be able to make claims for any gadgets that are lost or stolen in that 12 month period. There is no limit to the number of accidental damage or breakdown claims you can make on your devices.

This limitation is also explained in the policy summary – so I'm satisfied Assurant made this clear to Ms L.

It's not in dispute Ms L made three successful claims in December 2018 and one in January 2019 for lost or stolen phones. So when Ms L made a claim in November 2019, she'd already made four successful claims in the previous 12 months. So I agree it was fair for Assurant to ultimately decline the claim.

When Ms L first submitted a claim, I accept it's likely she was told both phones would be processed. So I appreciate Ms L was under the impression that her claim would be considered for both phones at the start. I think it's likely the advisor was simply setting up the claim, so couldn't have known straightaway that her claim wouldn't be covered. But I think she could've been told sooner that her claim wouldn't be covered, and Assurant acknowledges that it could've been clearer about this.

This doesn't mean it's fair for Assurant to cover these claims – under the policy terms, Ms L wasn't entitled to that. But I think she should be compensated for the misinformation. Had Ms L been correctly advised, she wouldn't have endured several days of speaking with Assurant about her claim and raising her expectation that a claim would be successful in some capacity. I agree there's been a degree of distress and inconvenience here and I agree with the investigator's recommendation here of £100.

My final decision

For the reasons I've explained my final decision is that I uphold this case in part and instruct Assurant General Insurance Limited to pay Ms L £100.

Under the rules of the Financial Ombudsman Service, I'm required to ask Ms L to accept or reject my decision before 10 August 2020.

Emma Szkolar
Ombudsman